Weekly Ship Recycling Report

16 September - 23 September 2022

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Visit : www.best-oasis.com

Email: bol@bol.ae

Head Office: 3201, Saba Tower 1, Cluster E, Jumeirah Lake Towers, Dubai, U.A.E

Contact: +971 4575 4667

Highlights of the Week

Global economy is knocked off course by soaring inflation, energy crisis and threats of a potential nuclear war, resulting in a sharp decline in economic activities across many regions. There is a downward pressure on ferrous scrap prices across all major recycling destinations due to slower end-user industry demands, thereby dampening the sentiments for ship recyclers. With elongating trade routes and growing supply chain woes, ocean freight rates do not appear to be returning to the pre-pandemic levels anytime soon, making it difficult to predict when a steady inflow of tonnage will resume in the ship recycling industry.

Chinese steel mills have ramped up production this month, with their average daily crude steel output in the 10 days to Sept. 20 hitting a three-month high of 2.89 million tonnes. There is an improvement in domestic steel demand as the industry prepares for a week-long National Day holiday at the start of October. Analysts saw signs of increased construction activity in China, with real estate developer Evergrande's 668 projects having resumed construction while hopes of more stimulus to shore up China's COVID-hit economy also added to the buoyant mood.

The demand and price of copper has gone down by nearly a third since March due to a manufacturing recession that came out of an energy crisis However, miners and metal traders say that a massive shortfall will emerge for copper in just a couple of years, as demand for it goes up.

Global markets wobble as U.S. Federal Reserve's inflation fight inspires rate hikes at central banks worldwide. Fed officials acknowledge the possibility that such aggressive rate hikes might bring on a recession but highlighted that it will tolerate a recession to bring inflation down.

Exchange Rates:

USD / INR

This Week	: 80.92
Previous Week	: 79.82
Lost	: 1.36 %

USD / BDT

This Week	: 103.34
Previous Week	: 104.13
Gained	: 0.76 %

USD / PKR

This Week	: 239.24
Previous Week	: 236.60
Lost	: 1.10 %

USD / TL

This Week	: 18.38
Previous Week	: 18.27
Lost	: 0.59 %

India

INR touched an all-time low

- The domestic scrap prices have softened this week on weakening end user demand and rumors that vessels loaded with large quantities of scrap are arriving at the West Coast of India. As Turkish scrap prices have plummeted, the Indian market has become a more attractive destination to send shiploads of scrap steel.

- The Indian rupee touched an all-time low of 81.15 this week on the back of US Treasury yields climbing to fresh multi-year highs and dollar demand from importers. This would directly impact the business environment in India as a stronger dollar would make everything expensive for traders and companies.

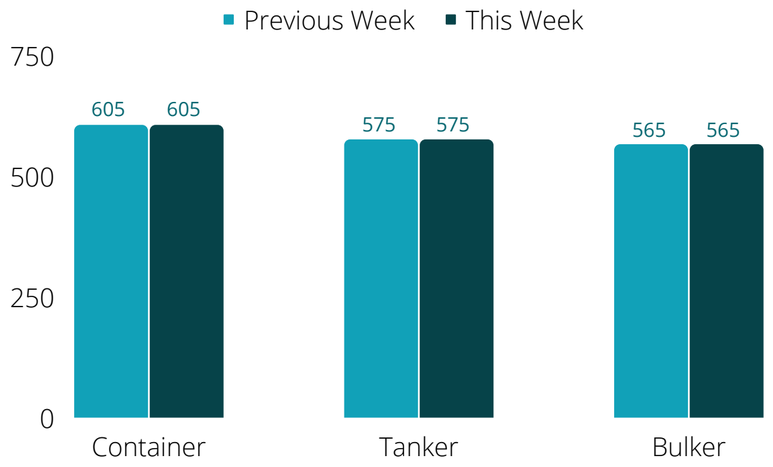
Beaching Dates

24 September to 2 October 2022

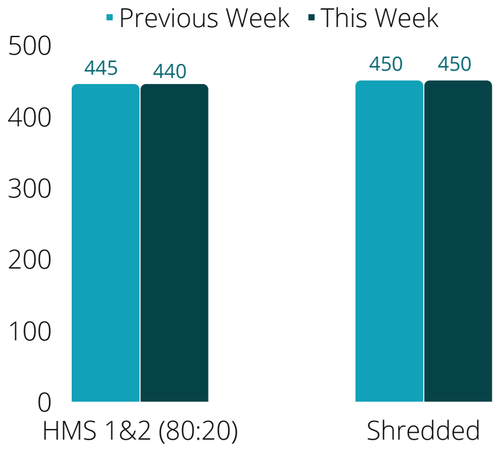
7 October to 15 October 2022

25 October to 31 October 2022

Price for Recycling Ships in India



Price of HMS 1&2 (80:20) and Shredded



Bangladesh

Offer prices remain stable

- The recyclers of Chattogram are keen to secure small-sized tonnage and are offering attractive prices to outbid their neighbouring counterparts from India and Pakistan. As the construction season begins soon in Bangladesh, we are expecting the offer prices to remain steady as many recycling yards are currently running empty.

- Bangladesh's economy is under severe strain as fuel price hikes amplify public frustrations over rising costs for food and other necessities. Fierce criticism and small street protests have erupted countrywide, adding to pressures on the government, which has sought help from the IMF to safeguard the country's finances. However, Bangladesh's predicament is nowhere nearly as severe as Sri Lanka's as its external debt is just about 20 % of its gross domestic product.

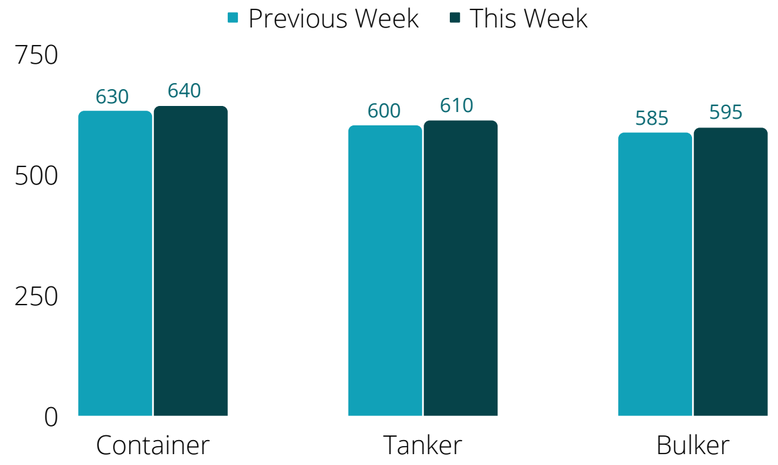
Beaching Dates

25 September to 28 September 2022

8 October to 11 October 2022

24 October to 27 October 2022

Price for Recycling Ships in Bangladesh



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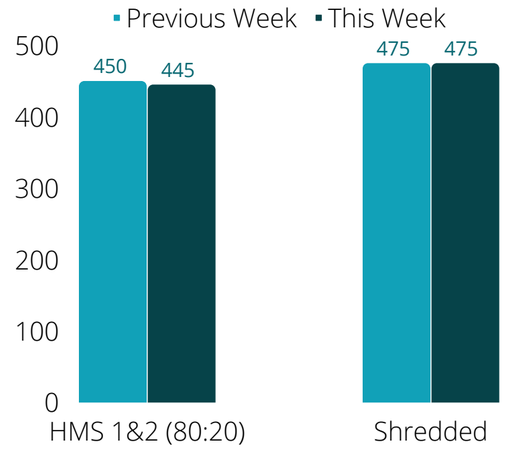


Pakistan

PKR continues its downtrend

- The recycling market of Gadani has remained out of active business for about four months now, with little signs of improvement in the coming weeks. Many recyclers have moved their goods to their warehouses in Karachi due to extremely slow pace of lifting materials in the recycling yards.

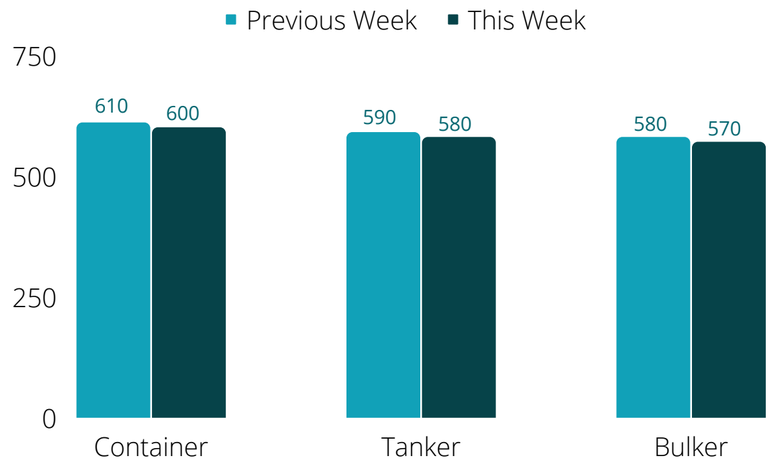
- Many steel mills in the country have decided to extend their shutdown for more days than originally planned due to sluggish demand for finished steel products as a result of heavy rainfall and flood situations across the nation.

- Pakistan Prime Minister made an urgent appeal for debt relief from rich nations as catastrophic floods exacerbated by climate change has caused financial damanges exceeding USD 30 Billion. While the promised aid from the Middle East is yet to arrive, the nation's foreign-exchange reserves stand at USD 8.3 billion, less than two months of import cover and below the standard benchmark of three months.

Beaching Dates

Throughout the month

Price for Recycling Ships in Pakistan



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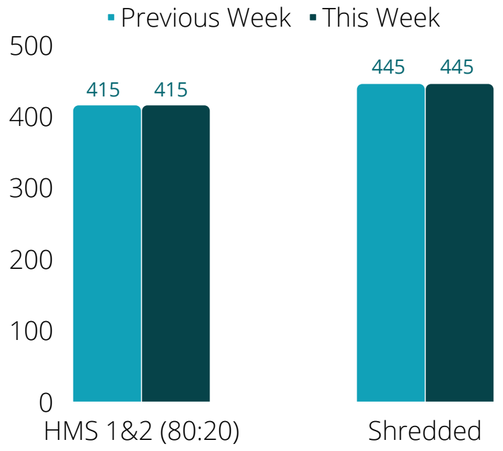


Türkiye

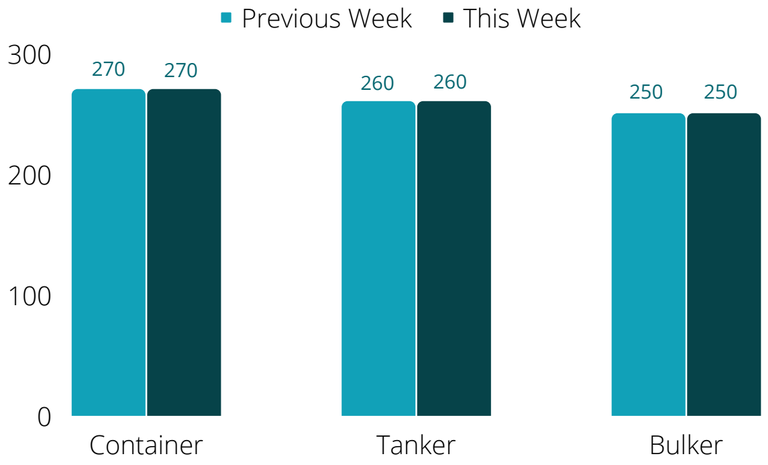
Central Bank delivered another shocking rate cut

- One Tanker of about 20,000 LWT has arrived in Aliaga this week.
- Major steel producers have raised their domestic and overseas scrap offers due to low material availability, high production rate and increased demand.
- Turkey's central bank delivered another surprise 100 basis-point rate cut on Thursday, sending the lira tumbling to an all-time low, even as inflation rose above 80% and as central banks globally race in the opposite direction and tighten policy. The policy direction has stunned investors and economists, who say the refusal to tighten policy is a result of political pressure from President Erdogan. The lira has lost more than 27% of its value to the USD year to date, and many economists predict a further fall upto 24/USD by March 2023.

Beaching Dates

Throughout the month

Price for Recycling Ships in Türkiye



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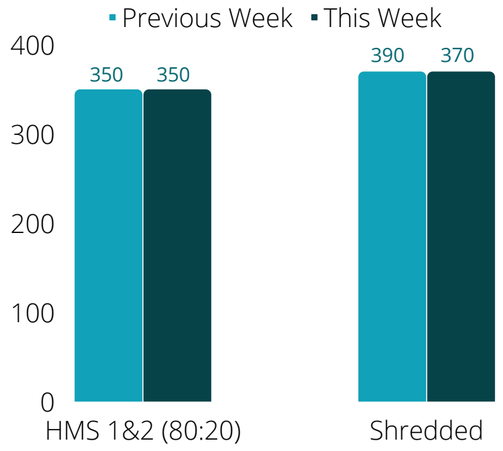
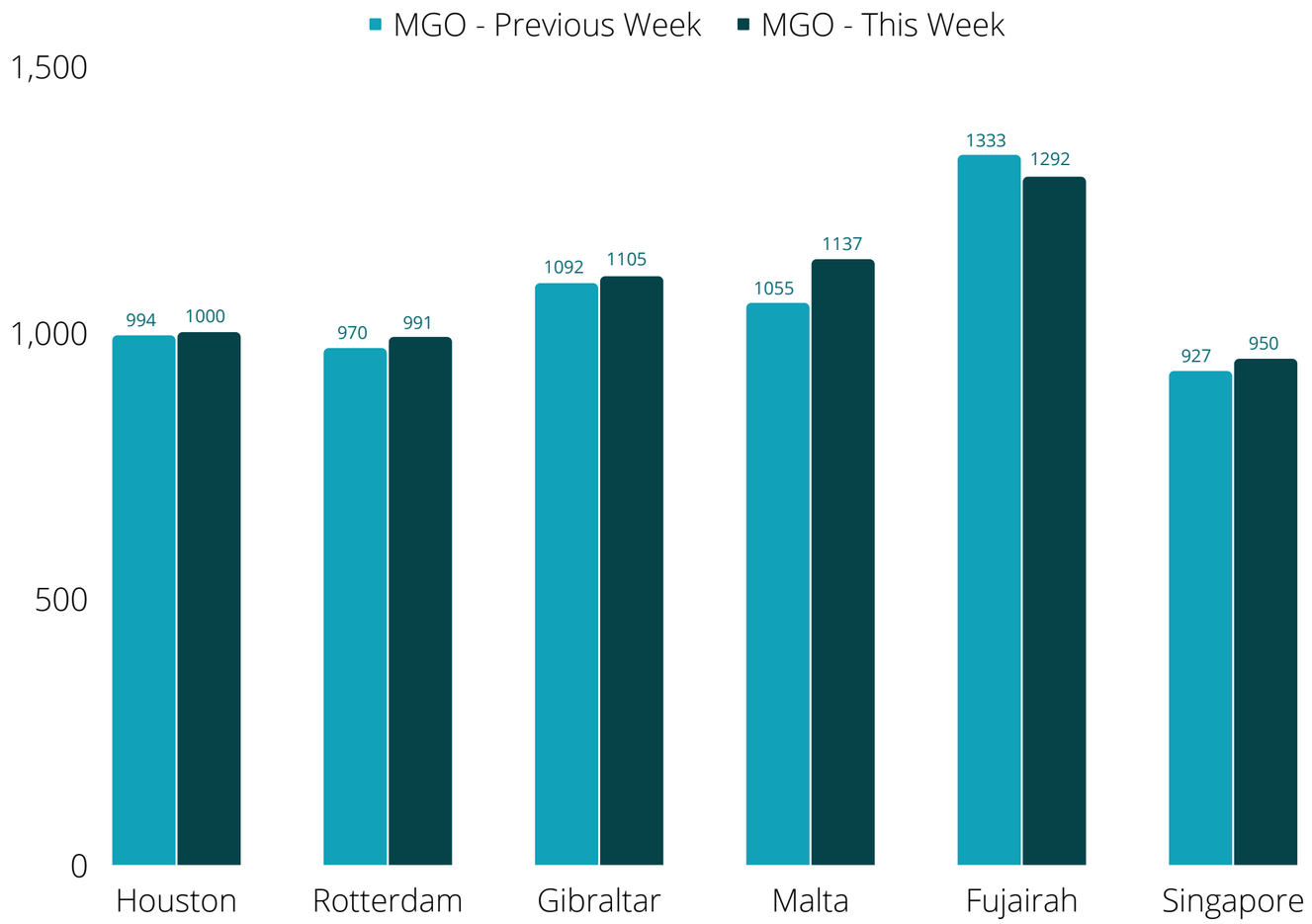


Bunker Prices at Port



Brent Crude

This Week	:	86.98
Previous Week	:	91.25
Movement	:	-4.68 %

WTI Crude

This Week	:	79.76
Previous Week	:	85.40
Movement	:	-6.60 %

- Oil headed for the longest stretch of weekly losses this year as central banks around the world stepped up their fight against inflation at the cost of growth. WTI dropped below USD 80 a barrel on Friday for the first time since January and was set for a fourth week of declines.

List of Vessels Sold this Week

Vessel Name	Type of Vessel	IMO No.	Year of Build	Country of Build	LDT	Term of Sale	Location of Delivery	Sale Price/LDT (USD)
DERRICK BARGE 27	PIPELAY BARGE	8757685	1974	JAPAN	15,984.00	AS-IS (For Class NK/LR only)	U.A.E.	UNDISCLOSED
FARQUHAR NO. 1	FISHING VESSEL	8717001	1988	JAPAN	495.03	DELIVERED	BANGLADESH	600.00
FULL ALWAYS 168	FISHING VESSEL	8821319	1989	JAPAN	505.19	DELIVERED	BANGLADESH	600.00
KRONSHTADTSKIY	REEFER	8826577	1990	U.S.S.R.	1,854.00	DELIVERED	INDIA/ BANGLADESH	675.00

Contact Us

Germany

Mr. Gerd Leopold
S&P Consultant

Phone: +49 417 188 0204
Mobile: +49 172 370 1021

Greece

Mr. Yiannis Kourkoulis
Vice President - Purchase

Phone: +30 210 0101 450
Mobile: +30 694 258 3977

Ms. Irini Mylona
Commerical Executive

Phone: +30 210 0101 450
Mobile: +30 694 484 3136

U.A.E.

Mr. Naren Sampath
Ship Broker - Purchase

Phone: +971 4575 4667
Mobile: +971 55 836 9147

Mr. Asif Ali
Ship Broker - Purchase

Phone: +971 4575 4667
Mobile: +971 58 645 0162

China

Capt. Steven Xu
Company Representative

Mobile: +86 136 6600 0719

Japan

Mr. T Ishii
Company Representative

Work: +81 354 522 405
Mobile: +81 901 536 1497

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